



Vancouver School of Economics Undergraduate Society

VSEUS Weekly Economics Gazette Newsletter

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Date: October 10, Friday

Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.

Send us feedback to finance@vseus.ca!

Market Overview:

investors are increasingly cautious about current North American equity valuations. The S&P 500's price-to-earnings (P/E) ratio stands at roughly 30, well above its long-term historical average. Such elevated valuations suggest a moderate market correction in the short/medium term. Moreover, the ongoing U.S. government shutdown is beginning to affect the availability and reliability of economic data, as agencies like the Bureau of Labor Statistics have been forced to suspend normal reporting activities.

On the other hand, Canada continues to work on strengthening its relationship with the United States. Former President Trump has suggested that Canada could be offered a special free trade agreement in 2026, potentially leaving Mexico subject to different trade conditions.



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Article 1: Why Corporate Bonds Are on a Tear

Author, Source & Date Published: Sam Goldfarb, October 5, 2025

Link: [WSJ Article](#) & [FRED](#)

Summary:

The gap between corporate bond returns and treasuries yields hit a 27-year low.

Key Takeaways:

- This might sound contradictory, given the Federal Reserve's ongoing concerns about a weak labor market. However, it's important to note that this comparison refers to two different fixed-income instruments rather than independent nominal returns. Even though the yield gap is narrow, nominal yields themselves remain relatively high.



Source: [Federal Reserve Bank of St. Louis](#), Market Yield on U.S. Treasury Securities at 10-Year Constant Maturity (DGS10), FRED.

• Why is this happening?

Investors are eager to lock in high returns as the Fed is expected to make two to three rate cuts in 2025. JPMorgan anticipates at least two such cuts. This suggests that investors believe businesses have a solid financial outlook and view current corporate bond returns as “cheap,” reflecting relatively low perceived risk.



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Educational Angle:

Students could understand investors' approach by using the Interest coverage ratio.

$$\text{Interest coverage ratio} = \frac{\text{EBIT (Earnings before Interest \& Taxes)}}{\text{Interest expense}}$$

The interpretation of this ratio is somewhat subjective, as it is sector-specific. Rating agencies such as Moody's and S&P establish different thresholds for industries like utilities, energy, technology, and real estate.

Why do these thresholds differ?

They depend on factors such as **seasonality**, **risk profile**, and the **typical leverage levels** within each industry.

For example, utility companies that operate in electricity or water distribution, have large, stable, and predictable cash flows throughout the year. Therefore, they don't require as high an interest coverage ratio as more leveraged industries like real estate.



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Article 2: Citadel's Griffin Calls Rush to Gold as Safer Asset 'Concerning'

Author, Source & Date Published: Laura Dhillon Kane, October 10, 2025.

Link: [Bloomberg Article](#)

Summary:

Investors are looking to de-dollarize their portfolios.

Key Takeaways:

- Global investors are becoming more concerned about geopolitical tensions, market volatility, and the recent Trump-era global trade war. These factors have created a period of heightened uncertainty, prompting investors to shift toward tangible assets like gold.
- Gold has surged dramatically in 2025. As of October 10, 2025, gold has increased more than 50% YTD. This reflects investors' growing desire to hedge against the U.S. dollar.
- Notably, central banks have been among the largest buyers. It's estimated that they now hold 15–20% of all extracted gold, a remarkable share of the global total.

Educational Angle:

What is a commodity?

Is a raw material that is standardized and is used to produce goods and services. In addition to this, commodities need to be produced in large amounts, so they can sustain a fluid and global market.

The most common commodities traded around the world are:

1. Brent crude oil
2. Steel
3. WTI (West Texas intermediate) crude oil
4. Soybeans
5. Iron

This why tariff northamerican headlines on steel aluminum and soybeans have so big implications in global markets, as they are of the most traded commodities.



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What are their types of commodity traders?

1. **Hedger:** Buy or sell a commodity at a fixed price in the future to reduce price uncertainty, allowing operations to continue despite volatility.
2. **Speculator:** Attempt to profit by predicting price movements.
3. **Arbitragers:** Seek profits from price discrepancies across markets.
4. **Bullion investors:** Protect their real income by investing in assets with intrinsic value, such as gold.